Americans feel worse than the economy says they should. Why?

Short answer: not media bias. High prices, how the survey is done, and what people lived through.

Consumer sentiment before the 2026 midterm elections · AI Applications in Finance · Final project

On paper the economy is fine. People feel terrible.

4.2% — **Unemployment**

Low — the 1978–2019 average was 6.2%

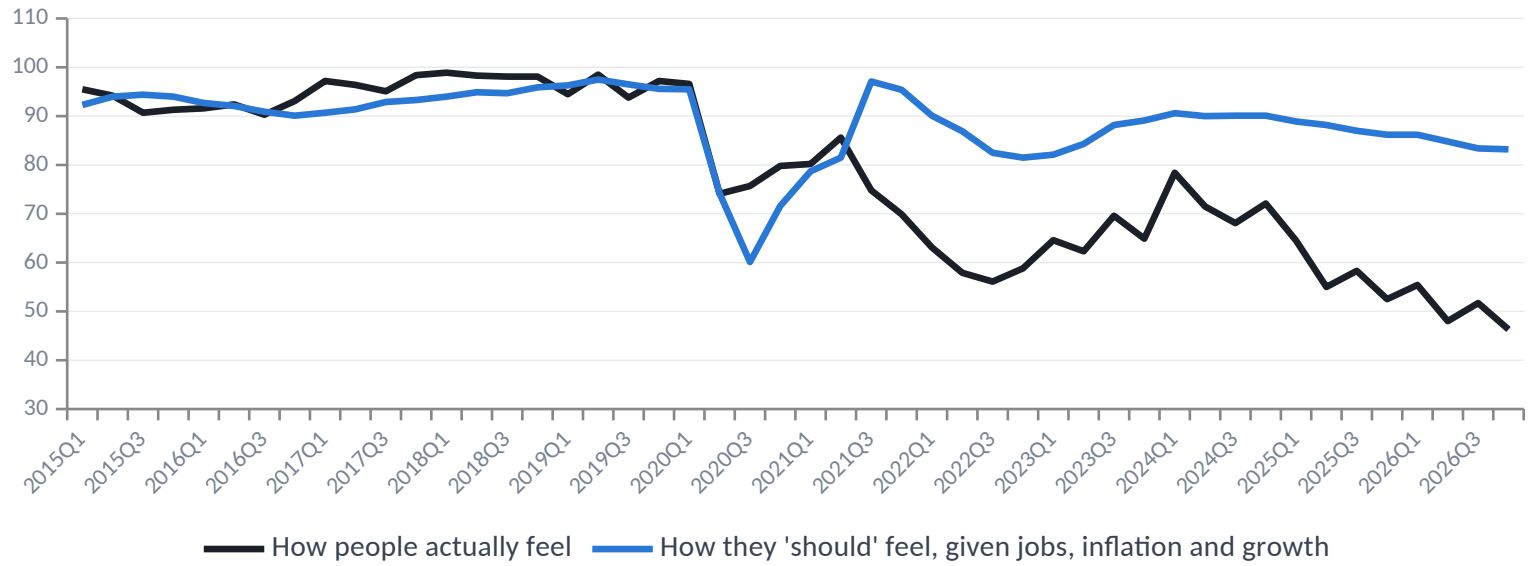
+2.2% — **Economic growth (GDP, yearly pace)**

Normal, healthy growth — no recession

3.4% — **Inflation (PCE, latest)**

Above the 2% goal, but far below the 7.2% peak of 2022

Sentiment score, 2015–2026 (100 = how people felt in 1966; 50s = very gloomy)



83 vs 46.3

'Should feel' vs actually feel, October 2026

2×

the gap is twice as big as in the 2008 crisis; May 2026 (44.8) was the lowest ever

What this means: **These numbers say people should feel fine (~83). They feel near the worst ever recorded (~46).**

Data: University of Michigan consumer survey, BLS, BEA, Philadelphia Fed; 247k news headlines & posts. Data up to 16 Oct 2026 (election 3 Nov 2026).

Three possible explanations — we tested all three

1

Real pain the numbers miss

Prices stayed high, loans got expensive, rent and food went up.

Our verdict

Biggest piece

2

Media and psychology

Negative or biased news coverage; how people's minds process shocks.

Our verdict

Media: no. Lived experience: yes.

3

Measurement

The survey changed how it asks; old models miss new kinds of shocks.

Our verdict

Yes, a real part

What this means: **We didn't assume people are irrational or that the news is biased — each explanation had to prove itself with data.**

Data: University of Michigan consumer survey, BLS, BEA, Philadelphia Fed; 247k news headlines & posts. Data up to 16 Oct 2026 (election 3 Nov 2026).

First, we made sure the data was right

1

Wrong inflation number

The file's inflation column left out food and gas. We used the full number.

2

A number from the future

It included a GDP figure not published until late October. We removed it.

3

Missing month

The 2025 government shutdown meant October 2025 jobs data was never collected.

4

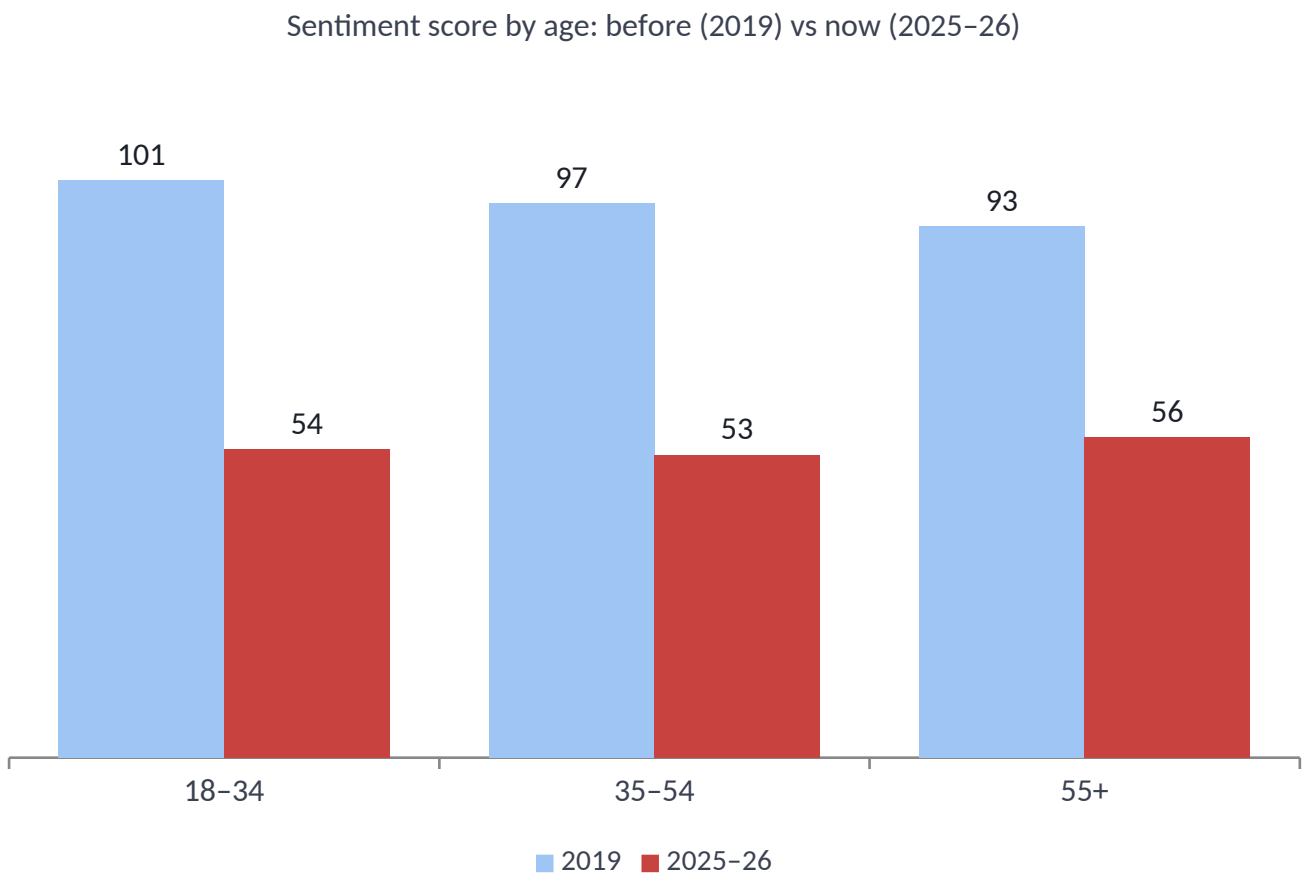
Survey changed

Michigan moved from phone to online in 2024. Online answers are ~6.6 points gloomier.

What this means: **Our rule: only use numbers that were actually available at the time — no hindsight.**

Data: University of Michigan consumer survey, BLS, BEA, Philadelphia Fed; 247k news headlines & posts. Data up to 16 Oct 2026 (election 3 Nov 2026).

Who feels worst? Everyone fell — young adults the most



- 18–34: 101 → 54 (fell 47) — went from most optimistic to as gloomy as everyone.
- 55+: 93 → 56 (fell 37) — smallest drop.
- But 55+ is 44% of the national score (young: 22%), so older people still move it most.

How we got this data

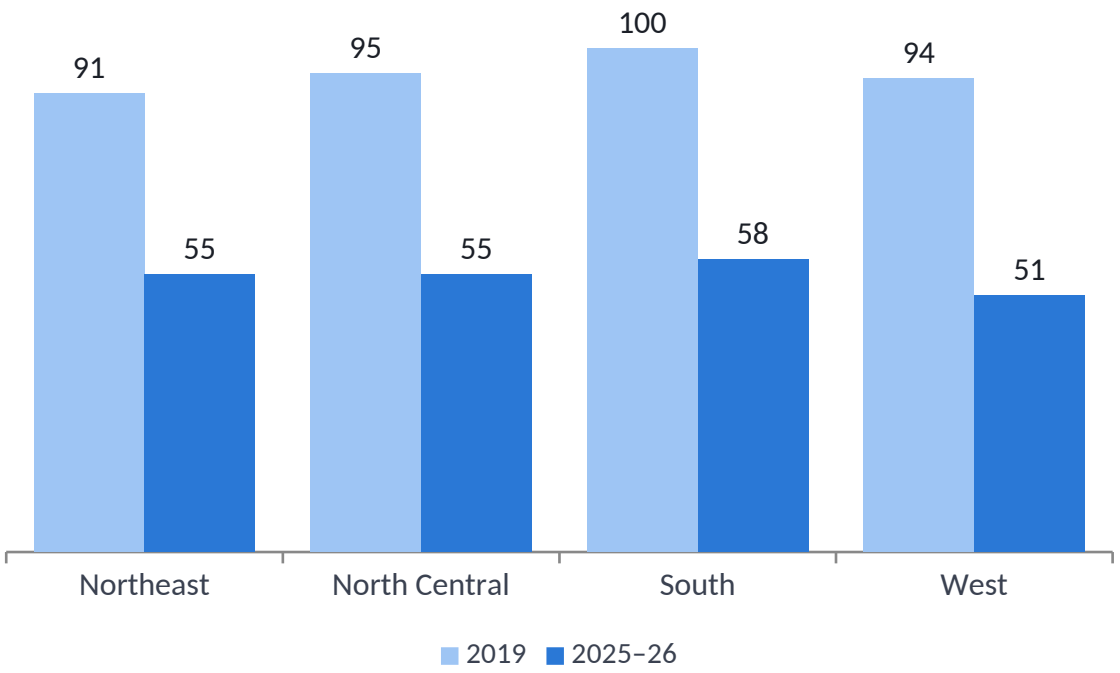
University of Michigan's monthly consumer survey (~1,000 adults a month) publishes the sentiment score separately for each age group. We averaged 2019 vs Jan 2025–Aug 2026. Each group's share of the national score was found by matching the three age scores to the national score, 2015–2026.

What this means: **This isn't one generation's problem — everyone got gloomier; young adults fell furthest.**

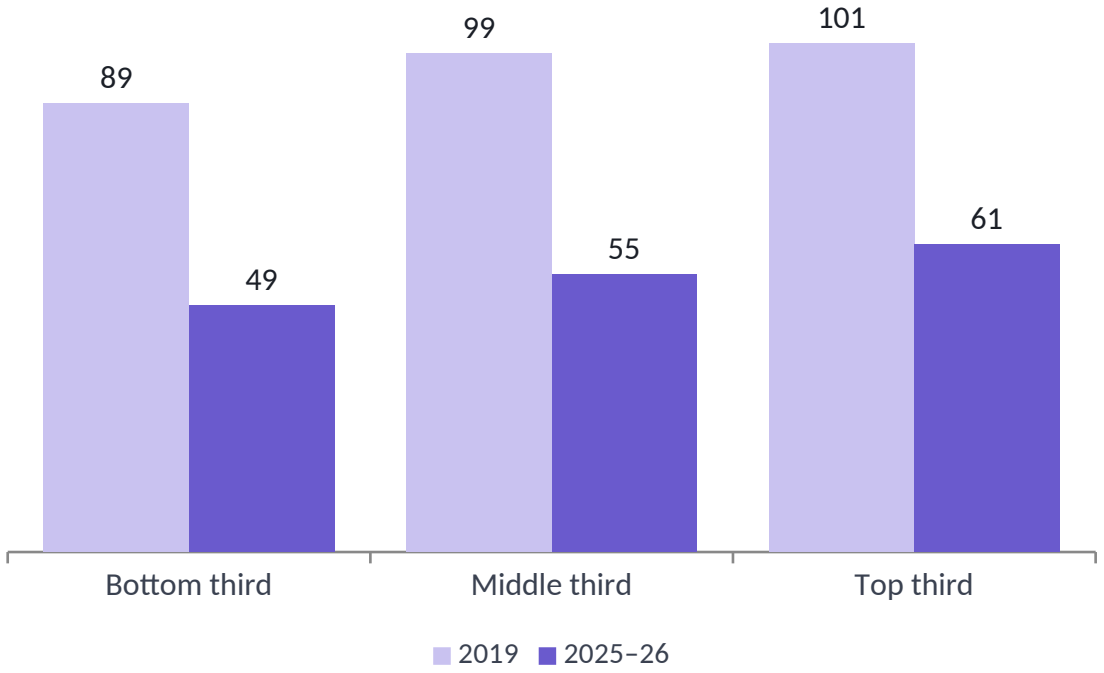
Data: University of Michigan consumer survey, BLS, BEA, Philadelphia Fed; 247k news headlines & posts. Data up to 16 Oct 2026 (election 3 Nov 2026).

It's not one part of the country or one income group

By region: before vs now



By income: before vs now

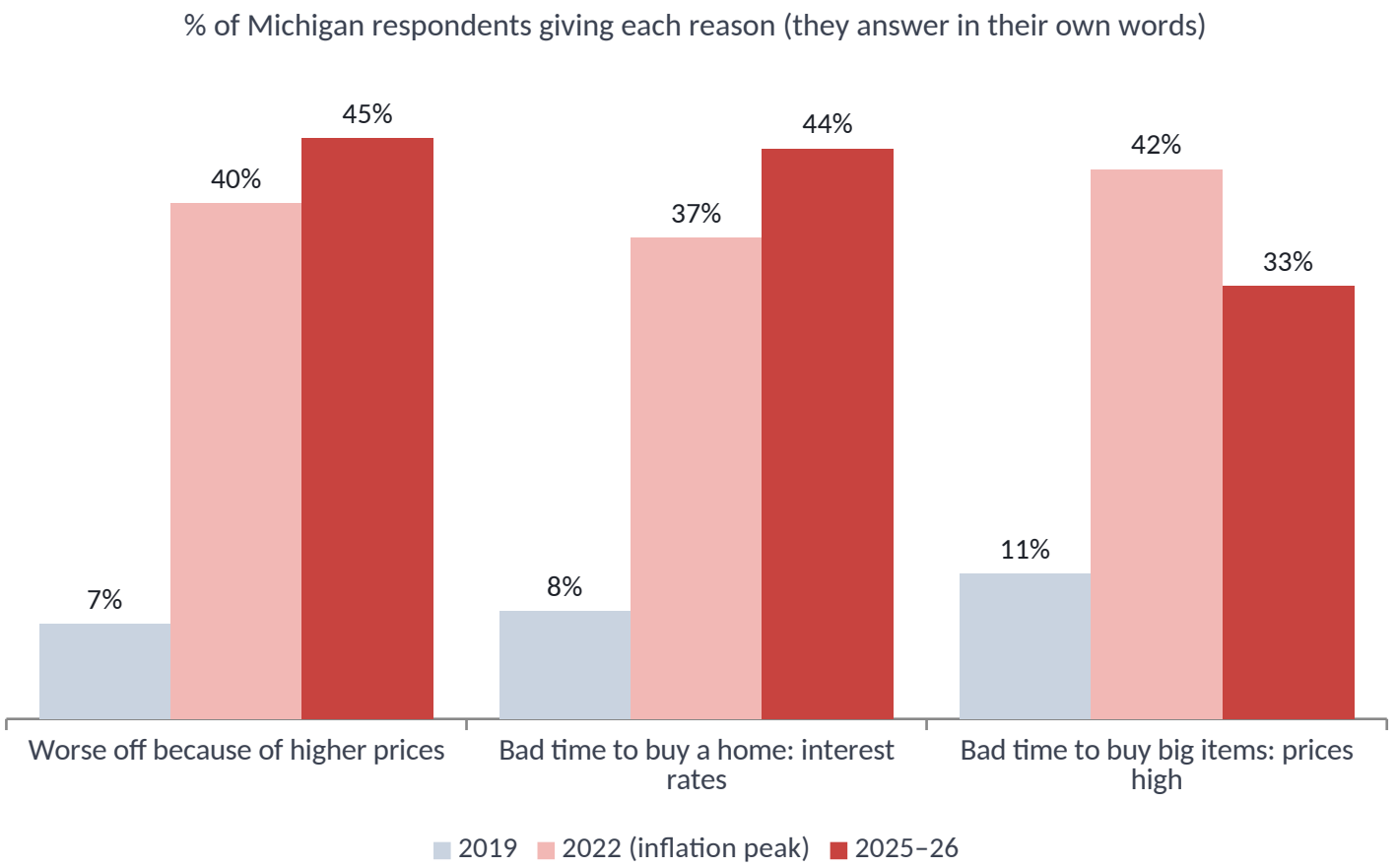


Does party skew this? *No — 2019 and 2025–26 are both under the same president, so party cancels out. (Biden vs Trump years: the Republican-leaning South fell ~7 points less — a small tilt, the same flip seen in 2017.)*

What this means: **Every region and every income level lost about 40 points — a nationwide shock, not a local one.**

Data: University of Michigan consumer survey, BLS, BEA, Philadelphia Fed; 247k news headlines & posts. Data up to 16 Oct 2026 (election 3 Nov 2026).

In their own words: people say it's prices and borrowing costs



It's about today, not the future

The gap in how people rate their situation right now (-43.7 points) is much bigger than in what they expect for the future (-25.8).

Worse than 2022 — even though inflation was higher then

45% now blame higher prices vs 40% at the 2022 peak. Expected inflation is 4.6% (2019: 2.6%).

What this means: **People tell us directly what hurts: the cost of living today — and it hurts more now than at the 2022 peak.**

Data: University of Michigan consumer survey, BLS, BEA, Philadelphia Fed; 247k news headlines & posts. Data up to 16 Oct 2026 (election 3 Nov 2026).

Why 'inflation is down' doesn't feel like it

The egg example

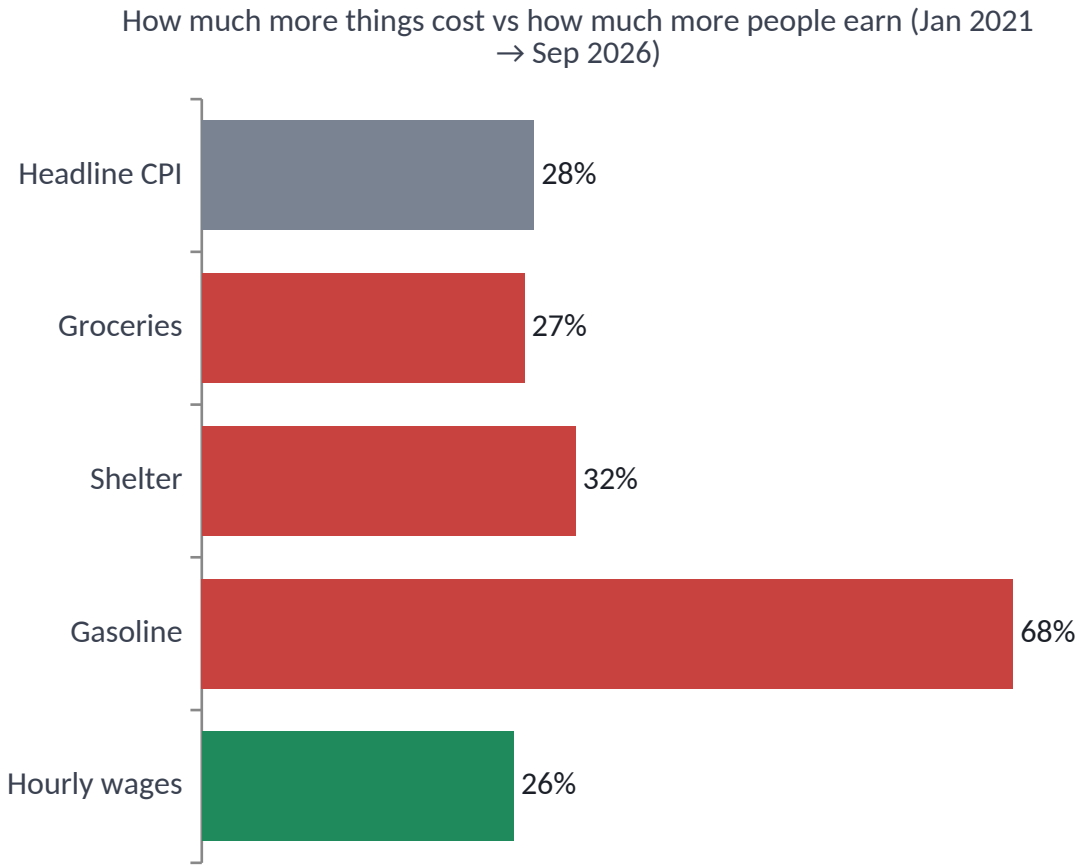
2021: eggs cost $2.

2023: eggs cost $4. Inflation was high.

2026: eggs cost $4.12. The government says inflation is 'low' (3%).

Official inflation measures how fast prices are rising now — not whether they came back down. People remember $2.

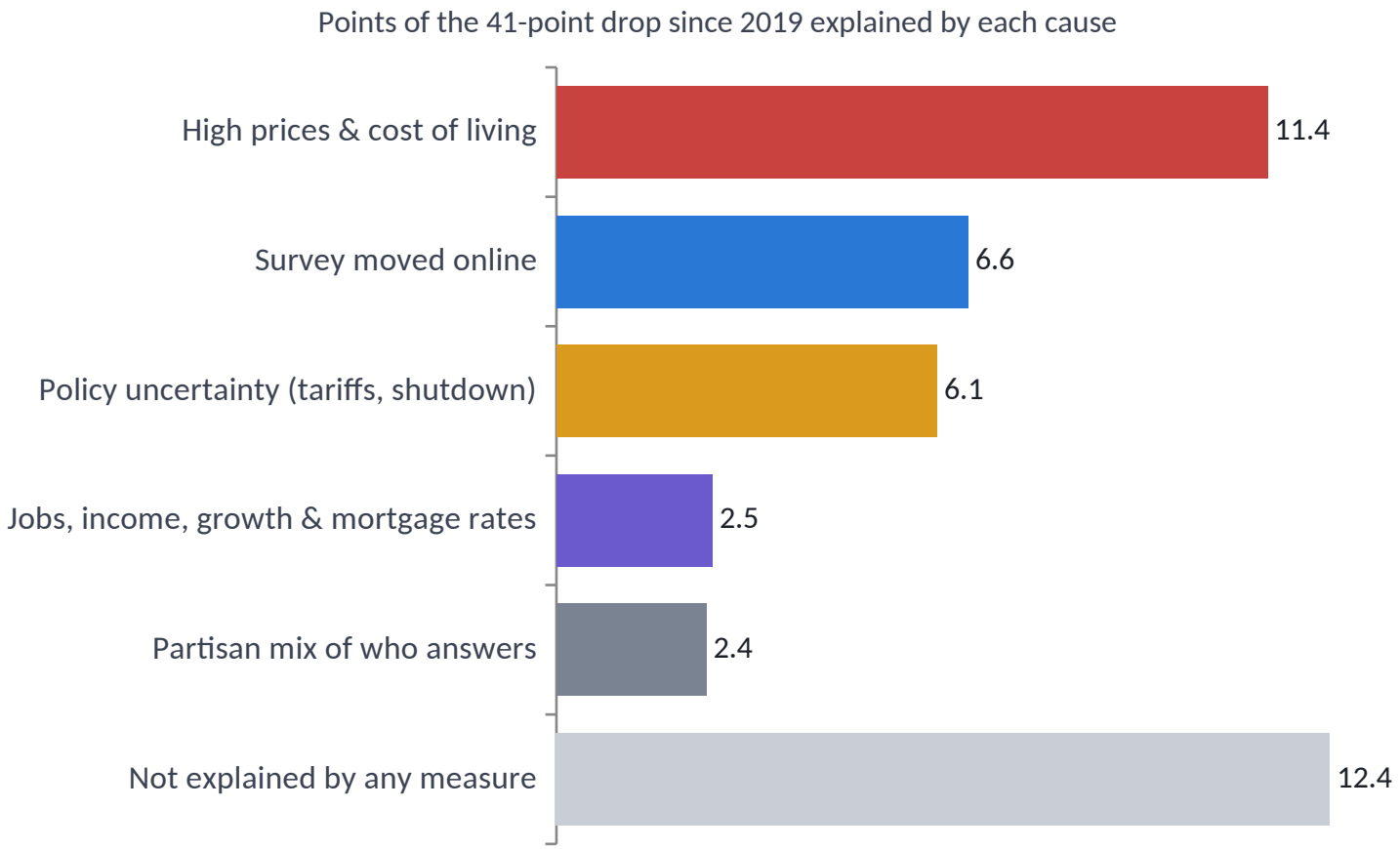
It also leaves out loan costs: a 7% mortgage instead of 3% doesn't count as 'inflation'.



What this means: **Prices up 28%, paychecks up 26% — people aren't imagining it.**

Data: University of Michigan consumer survey, BLS, BEA, Philadelphia Fed; 247k news headlines & posts. Data up to 16 Oct 2026 (election 3 Nov 2026).

What's causing the 41-point drop, ranked

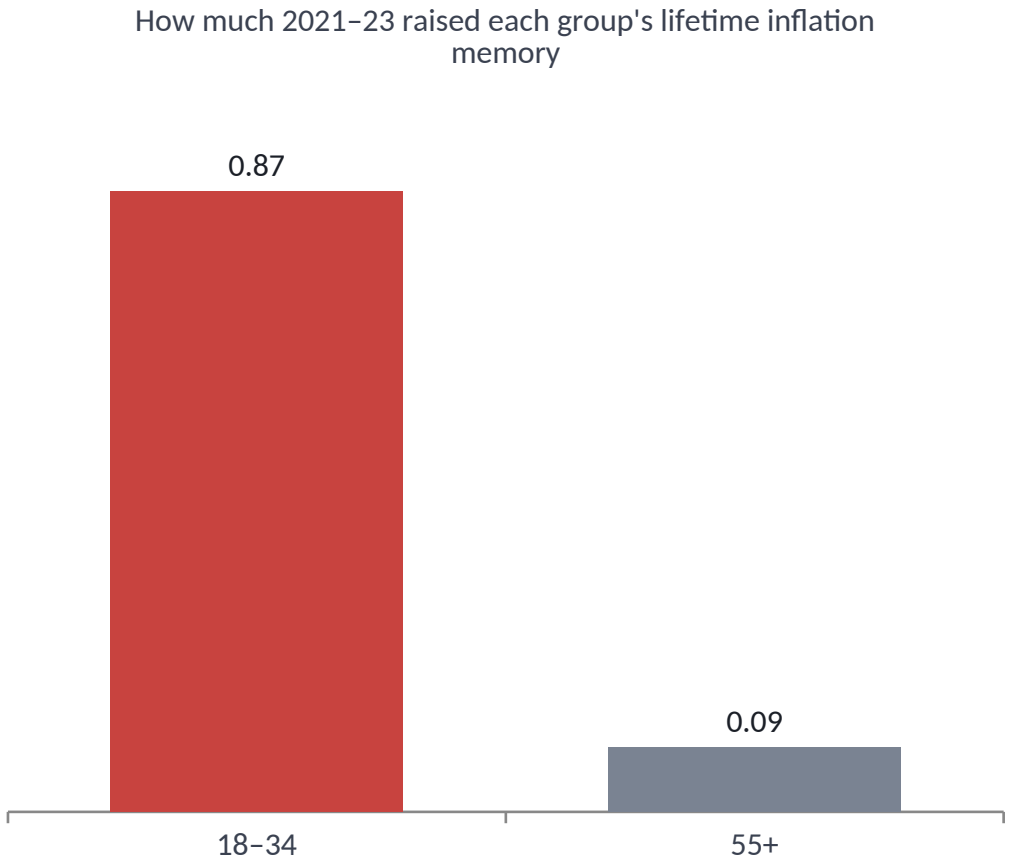


- Prices & cost of living: the #1 cause (28% of the drop) — prices ~11% above normal, food, gas.
- The survey moving online: 16%.
- Tariff and shutdown uncertainty: 15%.
- The official 'headline' numbers (jobs, growth) explain very little.
- About 12 points remain unexplained — we say so honestly.

What this means: **High prices, the survey change and policy uncertainty: 24 of the 29 points we can explain.**

Data: University of Michigan consumer survey, BLS, BEA, Philadelphia Fed; 247k news headlines & posts. Data up to 16 Oct 2026 (election 3 Nov 2026).

Why young adults fell furthest: it was their first big inflation



The idea

People learn about inflation from what they have lived through. For a 26-year-old, two years of high inflation is a big share of their whole life. For a 66-year-old who lived through the 1970s, it's a small blip.

What we found

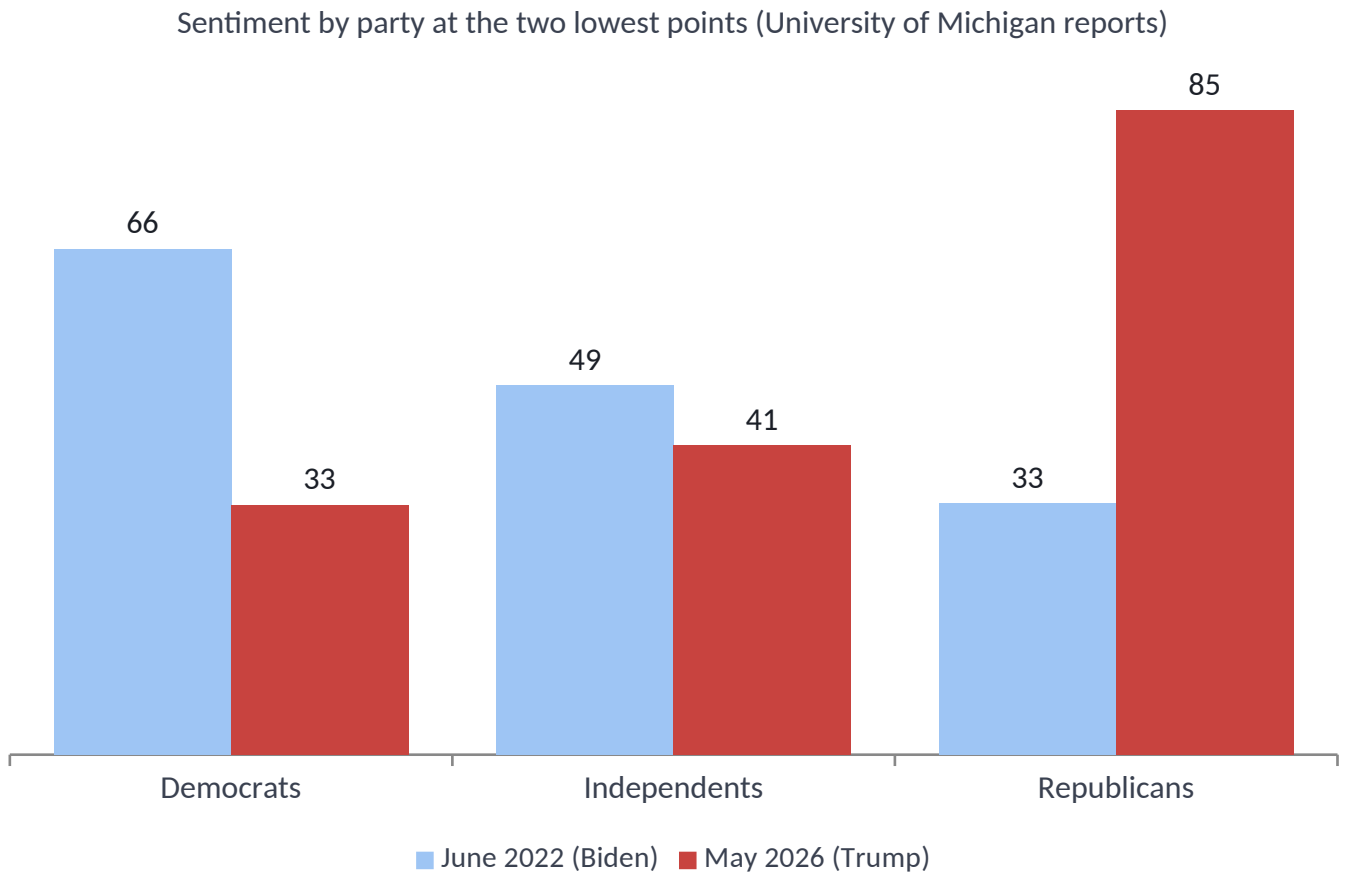
The 2021–23 shock raised young adults' inflation memory about 10× more than older adults'.

Young adults fell 10.4 points more than 55+. This effect explains about 8.2 of those 10.4 points.

What this means: **Young people aren't irrational — they're learning from the only big inflation they've ever seen.**

Data: University of Michigan consumer survey, BLS, BEA, Philadelphia Fed; 247k news headlines & posts. Data up to 16 Oct 2026 (election 3 Nov 2026).

Party matters — but independents are gloomy too



- People whose party holds the White House feel much better. This flips every election — Michigan has seen it since the 1980s.
- Independents — the middle — are the best guide to the national mood. They are at 41: very gloomy too.
- Since 2025, fewer people call themselves Republican in the survey. That alone lowers the national score by about 2 points.

What this means: **Party colors how people judge the economy, but the gloom is real across the political middle.**

Data: University of Michigan consumer survey, BLS, BEA, Philadelphia Fed; 247k news headlines & posts. Data up to 16 Oct 2026 (election 3 Nov 2026).

Is the media to blame? How we checked

1 Collected

247k news headlines and social posts, 2010–2026, from 9,515+ outlets

2 Rulebook

Wrote clear rules first: is this good or bad news for households? Is it slanted?

3 AI reader

An AI read every headline. A human checked 300: the AI agreed 70% of the time — better than word lists (43%) or other AI (50%)

4 Fair tests

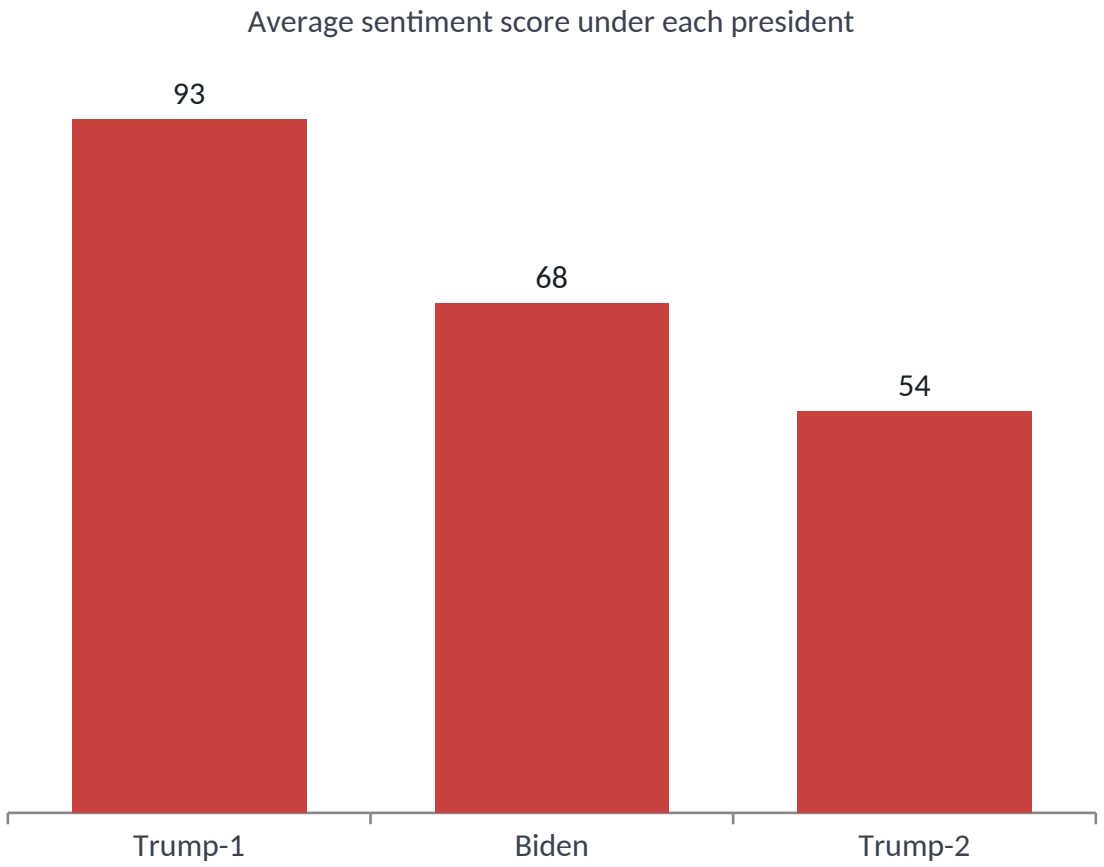
Negative isn't biased if the news is bad. We compared coverage to the real data and to other outlets in the same month

- Yes, there is political slant: right-leaning outlets sound much more negative when a Democrat is president (and vice versa).
- No, the news isn't overly negative: bad news isn't covered more than equally big good news, and 'inflation falling' stories rise when inflation falls.
- Adding news data to our forecast made it 25% worse. Adding everyday-cost data made it 24% better.

What this means: **The news has a political tilt, but it isn't driving the mood — knowing the news doesn't help predict it.**

Data: University of Michigan consumer survey, BLS, BEA, Philadelphia Fed; 247k news headlines & posts. Data up to 16 Oct 2026 (election 3 Nov 2026).

The test: moods kept falling, but the news didn't get worse



What should have happened if media caused it

Sentiment fell another 14.5 points after January 2025. If the news drove that, news coverage should have turned much more negative.

What actually happened

Overall news tone barely changed. Even in the worst case, that change explains about 0.9 point of the 14.5-point drop.

Right-leaning outlets did turn more positive under Trump — slant follows whoever is in power — but the total news mood stayed the same.

What this means: **The news can amplify the mood, but it didn't cause the collapse.**

Data: University of Michigan consumer survey, BLS, BEA, Philadelphia Fed; 247k news headlines & posts. Data up to 16 Oct 2026 (election 3 Nov 2026).

So what is causing the mismatch?

Real costs the headline numbers miss

20 points

- Prices ~11% above normal; paychecks behind
- Mortgage rates: 44% say it's a bad time to buy a home
- Tariff & shutdown uncertainty

How it's measured

9 points

- Survey moved from phone to online (−6.6)
- Fewer Republicans answering (−2.4)
- Old models never saw a shock like this

How people interpret it

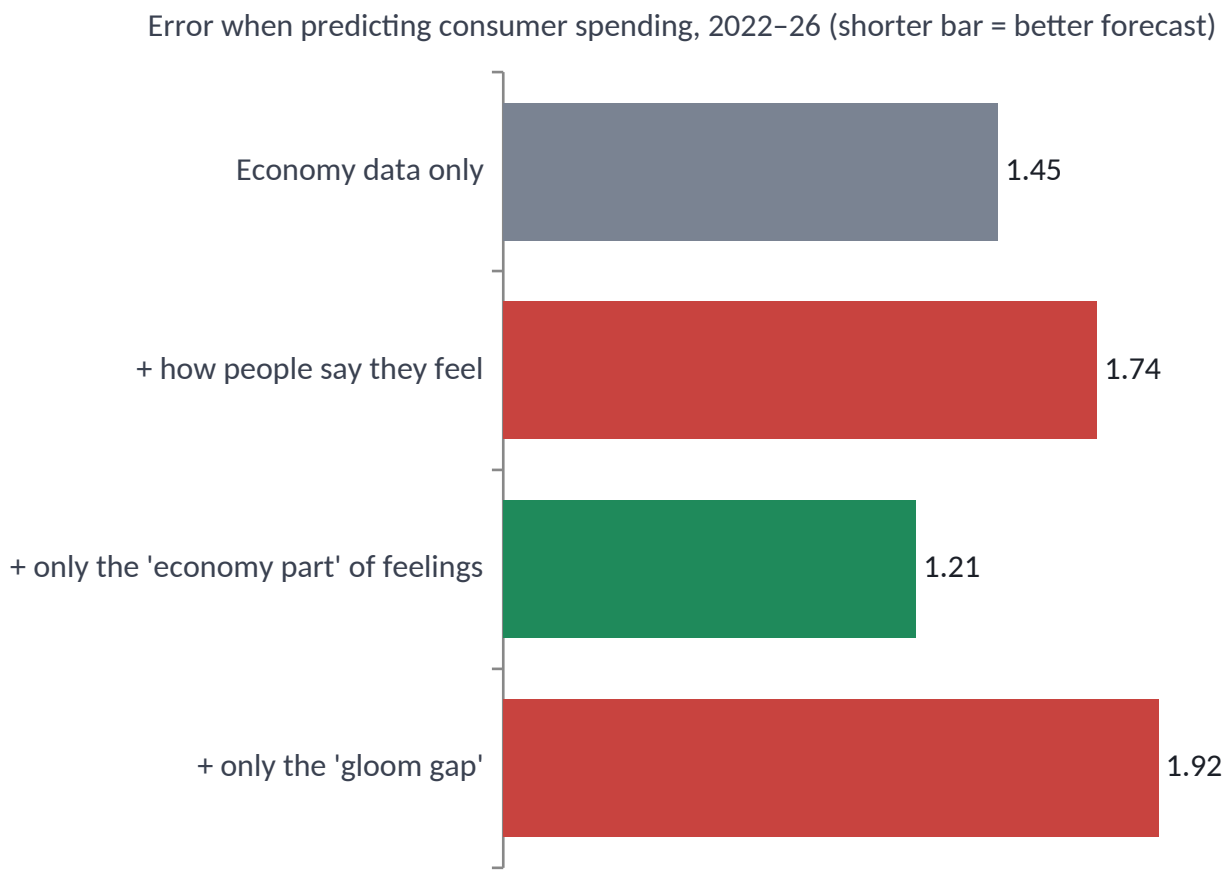
who is hit hardest

- Young adults: first big inflation (~78% of their extra drop)
- Party in power feels better
- Media: ~0.9 point — not the cause

What this means: **Of 41 points: ~20 real costs, ~9 measurement, ~12 unexplained — and media explains about 1.**

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What this means for investors and forecasters



The lesson

Since 2022 people said they felt awful — and kept spending about 2.5% more each year.

Using the survey as-is made spending forecasts 20% worse. Using only the part that matches the economy made them 17% better.

So: separate real economic worry from the 'gloom gap' before betting on a recession.

What this means: **Bottom line: high prices, the survey change and lived experience — not media bias — explain the gloom.**

Data: University of Michigan consumer survey, BLS, BEA, Philadelphia Fed; 247k news headlines & posts. Data up to 16 Oct 2026 (election 3 Nov 2026).

Thank you

Key takeaway

Americans aren't gloomy because of biased news. Prices stayed high, the survey changed, and young people lived through their first big inflation.

Questions?

Extra clarification: answers to the six required questions

1. How can we measure media bias?	Against benchmarks: equal good vs bad news, the real data, the same month across outlets, official numbers. AI coder checked against 300 human labels (70% agreement).
2. Is bias depressing sentiment?	No evidence: news adds no forecasting power; in 2025 tone barely changed while sentiment fell 14.5 points (~1 point explained).
3. How much do jobs, inflation, GDP explain?	Only ~13% of the 41-point drop.
4. Which mental biases can we measure?	Anchoring to old prices and learning from lived inflation: yes. Partisanship: indirectly. Availability/confirmation bias in readers: no (no exposure data).
5. Does media data improve predictions?	No — forecasts get ~25% worse; everyday-cost data makes them ~24% better.
6. What would contradict a media story?	Seven tests written in advance; most came out against it (see report Table 11).

Data: University of Michigan consumer survey, BLS, BEA, Philadelphia Fed; 247k news headlines & posts. Data up to 16 Oct 2026 (election 3 Nov 2026).

Extra clarification: proving cause, and our limits

- Experiment (needs ethics approval): show 2,400 people the same inflation facts framed four ways — balanced, as a rate, as a price level, as household cost — and measure their sentiment.
- Quasi-experiment: compare places that watch different TV channels (channel position is close to random), using survey data with locations.
- Linking a lab result to the national number needs exposure data, matching the survey's population, and decay estimates.

- One human labeler (re-check used instead of a second person).
- AI coder reacts slightly to party names (7% of labels flip) — reported.
- Google News ranking and short social-media history limit the corpus.
- No data on what each survey respondent actually read.
- About 12 points of the drop remain unexplained.

Data: University of Michigan consumer survey, BLS, BEA, Philadelphia Fed; 247k news headlines & posts. Data up to 16 Oct 2026 (election 3 Nov 2026).